

Manager Effectiveness in PM

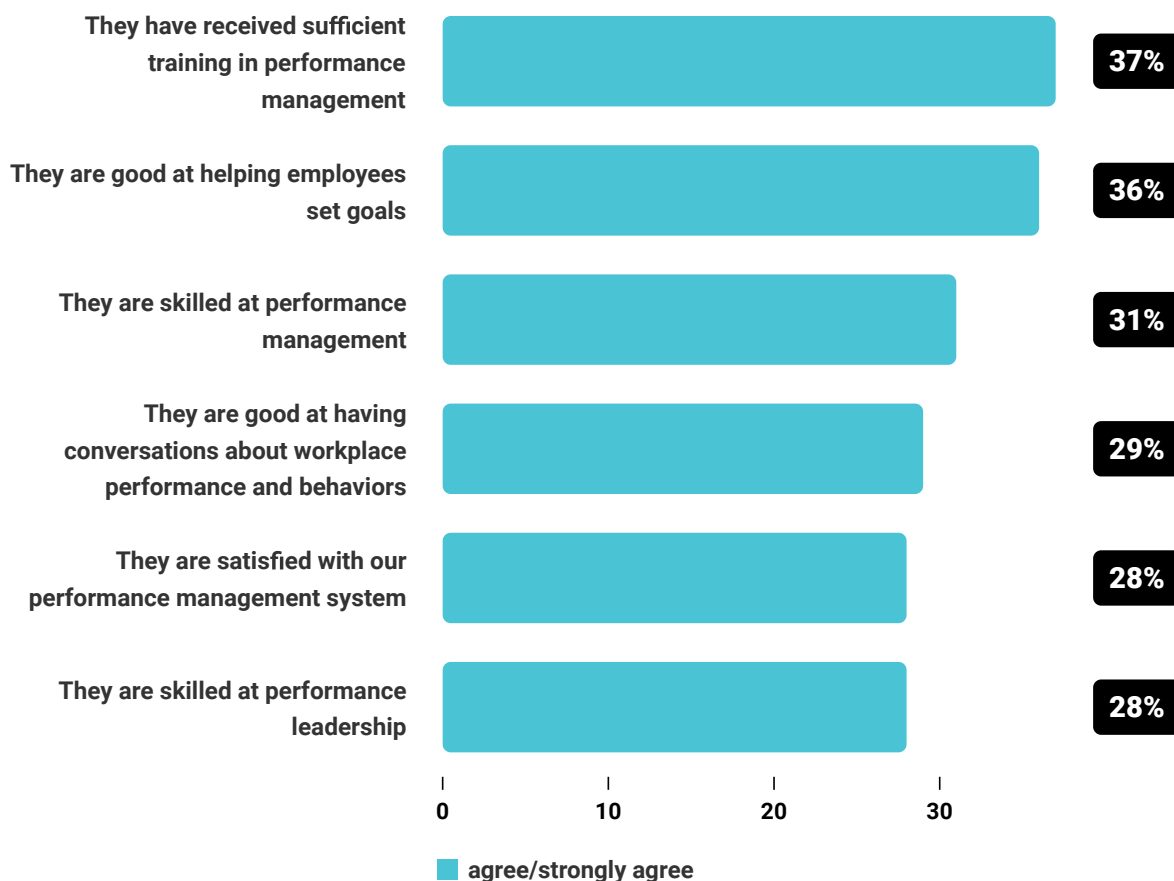


Finding: Just over a third of managers are skilled at setting goals

To be good at performance management, managers need to be good at setting goals and having conversations about performance and behaviors. Most managers are not strong in those areas. Only 36% are skilled at setting goals, and only 29% are skilled at having conversations about performance and behaviors. This lack of skill explains why only 31% of managers were rated as skilled in performance management.

One reason most managers lack the necessary skills is likely a lack of sufficient training; only 37% have received adequate training in performance management. [SHRM research](#) found that 61% of HR professionals say fewer than half of their managers effectively address underperformance with direct reports, and 41% say their organization does not provide adequate training and resources for managers to conduct effective performance reviews.

To what extent do you agree with the following statements about most managers in your organization? (percent responding agree and strongly agree)



Editor's Note: In the original data, 0% to 8% of respondents stated that they "don't know." We removed those responses and recalculated, so only those who answered the question substantively were included.



Fewer than a third of managers are satisfied with the performance management system



Finding: Compared to their laggard counterparts, PM leaders report vastly higher confidence in managerial performance skills

Results of Chi-square Test

A chi-square test of independence shows that PM leaders are significantly more likely than PM laggards to agree or strongly agree that their managers possess all listed skills required for PM.



Only a fifth of those in laggard organizations say managers have had sufficient training in performance management

Only 10% of respondents in PM laggards agree that their managers are skilled at performance leadership, compared to 60% of PM leader organizations. And over 70% of PM leaders say most of their managers have received sufficient training in performance management.

To what extent do you agree with the following statements about most managers in your organization? (percent answering strongly agree or agree)



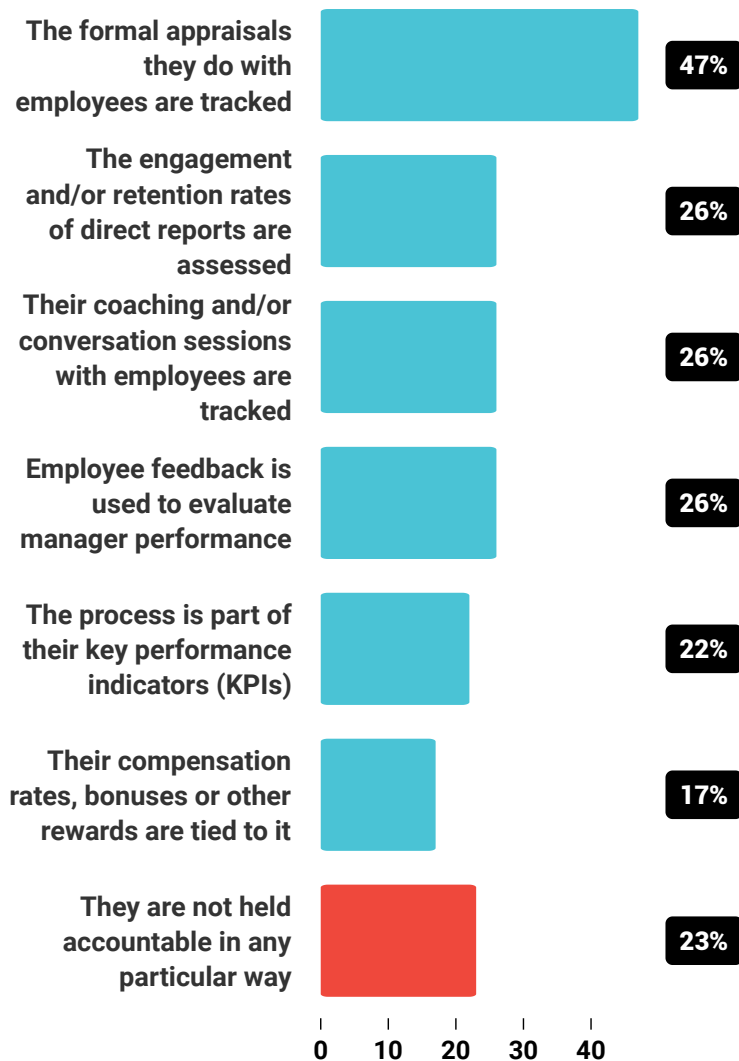
Editor's Note: In the original data, 0% to 12% of respondents (across the PM leader and laggard groups) stated that they "don't know." We removed those responses and recalculated, so only those who answered the question substantively were included.



Finding: Tracking formal appraisals remains the top accountability tool, though its use has declined

How do organizations hold managers accountable for performance management? Roughly half of organizations (47%) track whether managers complete formal appraisals. Use of employee feedback to evaluate managers has grown to 26%, up from 17% last year. Engagement and retention tracking held steady at 26%. Notably, nearly a quarter of organizations still don't hold managers accountable in any specific way, suggesting that despite more organizations diversifying their accountability methods, a persistent minority still lack meaningful reinforcement altogether.

How do you hold managers accountable for completing performance management activities? (select all that apply)



Nearly a quarter of organizations do not hold managers accountable for PM activities

Editor's Note: In the original data, 4% of respondents stated that they "don't know." We removed those responses and recalculated, so this only shows percentages for those who answered the question substantively.

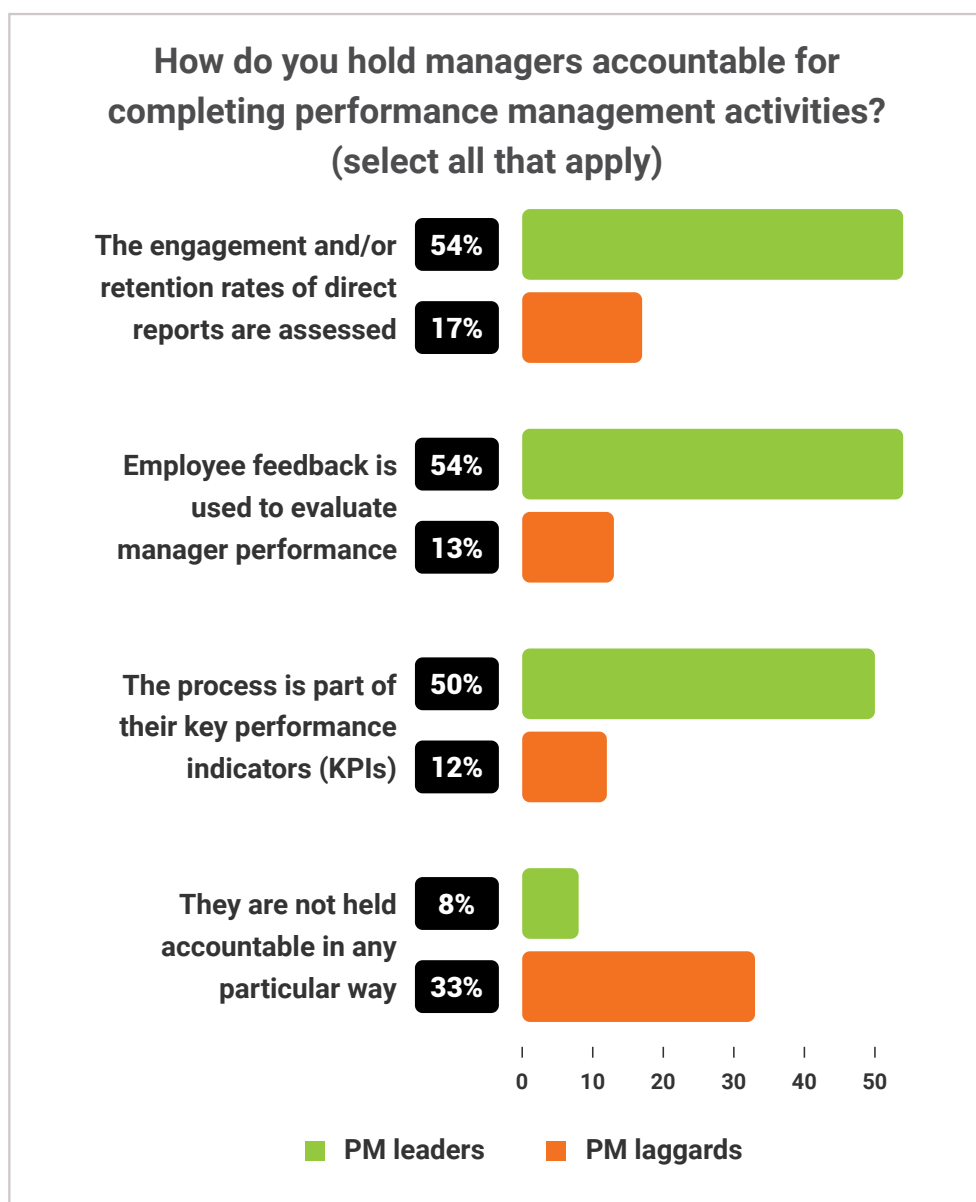


Finding: PM leader organizations hold managers accountable for PM more rigorously than their laggard counterparts do

Results of Chi-square Test

A chi-square test of independence shows that PM leaders are significantly more likely than PM laggards to hold managers accountable in the listed ways. PM laggards are significantly more likely than leaders to say managers are not held accountable in any particular way.

Only 8% of PM leader organizations lack accountability measures compared to 33% of laggard organizations. PM leaders are also much more likely to hold managers accountable using engagement or retention rates of direct reports (54% vs. 17%), employee feedback (54% vs. 13%), as well as by incorporating the process into managerial KPIs (50% vs. 12%).



Editor's Note: In the original data, 4% to 5% of respondents (across the PM leader and laggard groups) stated that they "don't know." We removed those responses and recalculated, so only those who answered the question substantively were included.

HRRI Strategic Recommendations

Based on our research, please consider the following suggestions:

1. Build managers' core performance management skills.

Only 36% of managers are skilled at setting goals and 29% at leading performance and behavior conversations, largely because just 37% have received adequate training at all. Targeted programs in goal setting, coaching conversations, developmental planning, and difficult conversations close these specific gaps directly, rather than relying on generic leadership training.

2. Close the baseline accountability gap before adding new metrics.

23% of organizations hold managers accountable in no specific way at all. Before building out new KPIs or measurement systems, make sure every manager has at least one accountability mechanism in place. The gap between "some accountability" and "none" is one of the sharpest dividing lines between leader and laggard organizations.

3. Once accountability exists, measure outcomes and feedback, not just completion.

Appraisal completion is still the most common accountability method (47%), but it only confirms tasks got done, not whether performance management is actually working. PM leaders go further: they build performance responsibilities into managers' formal KPIs and promotion criteria, evaluate managers on their direct reports' engagement and retention and incorporate employee feedback into manager assessments. These outcomes and feedback based measures capture real managerial effectiveness.